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The cash an owner can actually claim

An owner opens the mobile banking app and sees KSh 1.2 million. How much of it can they take home?

Research through 2026-09-24

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Research questions

1. Why can a profitable business have little cash that its owner can safely withdraw?
2. How much reinvestment and operating working capital does the business need?
3. Which daily cash, customer, stock and supplier measures should trigger action?
4. How do owner pay, borrowing, growth and succession affect transferable earning power?

Reading path

The main articles develop the argument and worked examples. Technical appendices follow the relevant article, with calculations, formula dictionaries and source references where supplied.

The cash an owner can actually claim	4
Appendix 01 – Rebuilding the owner cash claim.....	15

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The cash an owner can actually claim

Revised practical article; source details and figures are dated to their cited filing or event, with current evidence reviewed through 24 September 2026.

An owner opens the mobile banking app and sees KSh 1.2 million. How much of it can they take home?

The tempting answer is “the cash balance.” The careful answer begins with a different question: what does that cash have to do before it belongs to the owner? Payroll is due. A customer has paid in advance for goods the business has not delivered. A tax instalment is scheduled. A loan repayment falls next week. The business needs stock before the next sales cycle. The account balance is real, but it has several claimants.

That is why this series treats “owner earnings” as a way of thinking about earning power, not as a synonym for cash, profit, or a dividend. Buffett’s 1986 shareholder letter described owner earnings as reported earnings plus certain non-cash charges, less the average capital expenditure needed to maintain long-term competitive position and unit volume, and less additional working capital needed for the same purpose. He also warned that the maintenance-capital estimate can be difficult [1]. That caveat belongs in the formula, not in a footnote.

Four questions, four answers

Start by separating four measures:

1. **Cash generated in the period** asks what entered and left the bank accounts for one stated period.
2. **Accounting profit** matches recognized income and expenses under the business’s accounting basis. It can differ from cash because customers may owe money, stock may remain unsold, or invoices may be unpaid.
3. **Owner earnings** estimates how much the business can earn over time after reinvestment needed to keep the operation competitive and at the same level of activity.
4. **Cash that can prudently be distributed** asks what can leave the business after upcoming obligations, debt principal, restrictions, and a sensible operating reserve.

They may happen to be close in a stable, simple business. They often diverge in a growing or seasonal one. A fast-growing shop may report a profit while cash is tied up in new inventory and unpaid invoices. A business may also show cash because it drew a loan. That cash came with a matching liability. It is not sales revenue.

A useful starting bridge for an owner-managed business is:

- Reported profit after a market-level payment for the owner's work
- + relevant non-cash charges, if they have not already been included in the starting cash measure
- estimated maintenance and replacement investment
- additional working capital needed for the activity being sustained
- = an owner-earnings estimate

Then run a separate liquidity bridge:

- Cash available before distribution
- due payroll, supplier and tax payments
- scheduled loan principal and other required cash commitments
- required or chosen operating reserve
- = cash the owner could consider distributing

If the same expense appears in both bridges, check for double-counting. For instance, do not begin with net income, subtract an expense again, and call that conservatism. State the treatment once.

A small example

Imagine a repair shop with one owner who also manages the staff and works at the counter. For this fictional year, after recording a reasonable wage for that work, the books show KSh 800,000 of profit. Depreciation is KSh 150,000. The business has bought replacement tools, but it also opened a second service bay. The accounts do not identify which shillings of equipment spending merely kept the first bay running and which created extra capacity.

A model might show a maintenance range of KSh 120,000–250,000, with a central working assumption of KSh 180,000. If maintaining the existing volume also ties up an extra KSh 100,000 in parts and customer credit, the central estimate is:

$$\text{KSh } 800,000 + 150,000 - 180,000 - 100,000 = \text{KSh } 670,000$$

That is an estimate of owner earnings under those assumptions. It is not a precise audited line. The book's cash could still be lower because old invoices remain unpaid, a loan principal payment is due, or a tax payment differs from the tax expense recognized during the year. Nor should the owner automatically withdraw KSh 670,000. First reconcile the actual bank movement and list obligations due before the next reliable receipts.

The owner's labour matters too. If the owner worked full-time but recorded no salary, the apparent profit includes pay for a job. A buyer would need someone to do that work. For valuation, estimate the cost of competent replacement labour and subtract it before treating the remaining profit as a return on ownership. For a sole proprietor deciding what to transfer to a personal account, salary and owner draw may be booked differently. The

economic question is still: did the business earn a return after paying for the work that keeps it open?

What the research adds

Working-capital decisions can shape both profit and available cash. Deloof studied 1,009 large Belgian non-financial firms and found associations between profitability and the time firms held receivables and inventory [2]. García-Teruel and Martínez-Solano examined 8,872 Spanish SMEs and reported that shortening collection periods and inventory holding periods was associated with higher profitability in their sample [3]. Those are useful reasons to measure the cash cycle. They are not a target that every Kenyan shop should hit. A wholesaler who cuts stock below what reliable service requires may lose customers. A small supplier who shortens payment terms may lose a large buyer.

For a lender or a buyer, the entity also matters. A loan in the owner's personal name, a company overdraft, a director's guarantee, and a supplier balance may all affect risk, but they are not the same liability. The Business Credit series already demonstrates why a lender's legal borrower and the business whose cash flow is being assessed must be joined carefully. The cash is only available to the party that owns the account and is free to use it under its contracts. Merton's structural credit model is a useful reminder that equity and debt are different claims on the same business assets [4]. It is not a substitute for the owner's dated cash schedule: the model needs asset value and risk inputs that most small businesses do not observe reliably.

A five-minute owner check

Before taking money out, the owner can write down:

- bank cash today, including which entity owns each account;
- receipts that are actually expected, with dates and evidence;
- payments due before those receipts arrive;
- stock or equipment the business must buy to deliver existing commitments;
- debt principal, tax and payroll due;
- minimum cash needed to survive a delayed customer payment or a weak sales week.

This small schedule is more useful than calling every available shilling “profit.” A 13-week forecast appears in Part 3. The next part looks at the most judgmental line in the owner-earnings estimate: how much investment it really takes to maintain the business.

Rebuild the year before asking what can be drawn

Take the last twelve months and put the business cash story in one schedule. Reconcile sales to invoices, till receipts, mobile payments and merchant settlements. A KSh 2 million sale recorded on credit is not KSh 2 million in the bank. Reconcile purchases and payroll to invoices, payslips and payment runs. A bill received after year end may belong to the period even if it has not been paid. The point is to know which timing differences explain cash, not to force cash to equal profit.

Use a repeatable order:

1. **Choose one legal entity and period.** If the shop, warehouse and vehicle are owned by different companies or relatives, identify intercompany rent, loans, guarantees and assets before combining cash.
2. **Tie opening and closing cash to statements.** Include bank, mobile money and till cash separately. Remove restricted deposits and amounts held for tax or customers.
3. **Tie revenue and costs to records.** Identify VAT or other indirect tax, refunds, discounts, bad debt, stock adjustments and personal spending.
4. **Reconcile operating cash.** Add back noncash charges once, then reflect actual changes in receivables, stock, supplier balances and other operating items.
5. **Classify investment.** List cash asset additions and disposals; distinguish maintenance, compliance, replacement and growth using asset-level evidence.
6. **Separate financing.** Draws are receipts from financing; principal repayments are cash outflows. Interest treatment depends on the starting point and valuation question.
7. **Normalize owner work and one-offs.** Replace below-market or above-market compensation with supportable costs for necessary work.
8. **State working-capital assumptions.** Determine whether balances reflect normal trading, seasonality, overdue suppliers or one-time catch-up.
9. **Calculate separate answers for earning power and liquidity.** Owner earnings is not the same as cash available this week.

This is more demanding than “profit plus depreciation,” but it reveals missing books. If the owner cannot reconcile deposits to sales, improve transaction capture before building a more complicated valuation.

A detailed fictional cash bridge

Suppose a workshop reports KSh 1.8 million net income after paying the proprietor KSh 900,000 for management and repair work. Depreciation is KSh 240,000. Receivables rise from KSh 800,000 to KSh 1.05 million, inventory from KSh 1.20 million to KSh 1.45 million, and trade payables from KSh 700,000 to KSh 830,000. On these simplified balances, incremental net working capital consumes KSh 370,000: 250,000 more receivables plus 250,000 more stock less 130,000 more payables. Cash from operations before other accruals is roughly KSh 1.67 million.

The shop spends KSh 680,000 on equipment. The asset list shows KSh 380,000 replaces two lifts and a diagnostic unit supporting current service; KSh 300,000 fits out a second bay. A simple historical cash figure after all capex is KSh 990,000. Yet that is not normalized earning power: actual capex includes growth, while future maintenance may not equal this year's replacement spend.

For an owner-earnings view, the KSh 1.8 million profit already includes KSh 900,000 compensation. A qualified replacement manager and mechanic would cost KSh 1.2 million. Adjust down by only the KSh 300,000 shortfall; do not subtract the full replacement wage again. Using KSh 380,000 maintenance and KSh 370,000 additional working capital, normalized owner earnings are **KSh 990,000**, calculated as KSh 1.8 million profit + KSh 240,000 depreciation – KSh 380,000 maintenance – KSh 370,000 additional working capital – KSh 300,000 replacement-pay gap. The KSh 1.29 million figure is the intermediate estimate before the replacement-pay adjustment; it is not the final normalized owner-earnings figure. This bridge also happens to equal the KSh 990,000 historical cash-after-total-capex proxy because this example's KSh 300,000 growth-bay outlay and KSh 300,000 replacement-pay adjustment offset numerically. That coincidence will not generally hold. The KSh 300,000 growth bay remains a separate investment decision, not maintenance; test its expected incremental return separately and do not deduct it again from the no-growth owner-earnings estimate.

The distribution question uses actual dates. If the bank has KSh 1.2 million, upcoming payroll is KSh 250,000, critical suppliers KSh 260,000, rent and utilities KSh 80,000, taxes KSh 90,000, loan principal KSh 100,000, and a prepaid order requires KSh 130,000 to complete, those uses total KSh 910,000. With a KSh 150,000 reserve floor, only KSh 140,000 is provisionally above the listed needs. If a disputed KSh 200,000 customer receipt was mistakenly counted, even that headroom disappears. A business can earn KSh 1.29 million over a normalized year and still have little safe cash for an immediate draw.

Every line must be tested. Check maintenance with the technician and quotations; replacement cost with the actual job description; working capital across several seasons; and the forecast with dated receipts. Keep the bridge auditable enough that a lender, partner or buyer can challenge it.

Reconcile annual cash to the bank statement

For each month, use the identity: opening unrestricted cash plus operating, financing and asset-sale receipts, less operating payments, capex, financing payments and owner distributions equals closing unrestricted cash. Tie the result to bank and mobile-money reconciliations after transfers between accounts are removed. If it does not tie, list the difference and investigate instead of hiding it in “other.”

A facility draw is financing, not sales cash; principal repayment is not an operating expense. Reconcile tax payable, tax expense and tax paid rather than subtracting the same tax twice. Customer deposits are receipts with delivery or refund obligations. Supplier credit can increase cash temporarily but is not sustainable working capital if it reflects overdue balances. The cash schedule should show each item on its due date.

Separate **cash control** from **profit measurement**. A bank reconciliation shows that cash exists, not that profit recurs. A stocktake checks quantity, not saleability. An invoice confirms a ledger entry, not collection. A monthly close should test both the existence and economic quality of the asset or income.

Use a monthly owner review

A monthly review can fit on one page: reported profit; profit-to-cash bridge; maintenance estimate and range; incremental working-capital use or release; market replacement pay; scheduled debt; reserve requirement; and distributions already taken. Beside each figure, record source and owner. Mark it tied, estimated or unresolved. If an unresolved line changes a drawing, loan or hiring decision, resolve it before acting.

Compare the forecast with actual dates and amounts. If collections repeatedly arrive ten days late, use observed timing instead of the sales team’s best-case promise. If a repair was larger because replacement had been deferred, update the asset plan. If the owner withdrew money for a personal emergency, record the draw separately and restore the agreed reserve process. This prevents a one-off event from being misreported as ordinary performance.

The practical sequence is: close the books, reconcile cash, estimate sustainable earnings, protect the reserve, then approve a transfer. Use the earnings estimate to assess durable returns, the cash plan for today’s payment decision, and a valuation method only after ownership and financing claims are reconciled.

Three ways the bridge can mislead

The first is double counting. If the starting figure is net income, tax expense and interest expense have already affected it. If the analysis adds back interest to estimate enterprise cash flow, debt service still belongs in the later financing bridge. If it starts from cash flow

after interest and then subtracts interest again, it understates cash. Write the basis at the top of the schedule: equity earnings after interest, operating cash before financing, or cash available for distribution. Every add-back should have a clear reason and a matching treatment elsewhere.

The second is treating all noncash expense as disposable cash. Depreciation is not a current payment, but the assets that depreciate wear out. Adding back depreciation without a replacement estimate turns an income statement convention into a claim that equipment is free. Amortization may relate to software, licenses or acquired customer relationships with different replacement economics. Add back only where appropriate to the chosen measure, and then explicitly fund the renewal or replacement need.

The third is interpreting working-capital release as recurring earnings. A business that collects old receivables or reduces stock may generate cash this year. It cannot repeat the same release indefinitely. If the normalized closing balance is lower than the opening balance because the firm liquidated excess stock, separate that one-time release from the annual owner-earnings estimate. If supplier balances rose because invoices were unpaid, do not treat that as permanent free financing.

Adapt the claim to the business

A bakery's cash bridge should include flour and packaging bought before daily sales, equipment replacement, waste and retailer settlement timing. A professional services firm may have little physical inventory but can carry large receivables, unbilled work, software subscriptions and key-person exposure. A farm can have substantial seasonal inventory and biological production cycles; profit and cash receipt dates can fall in different periods. A small property developer may receive deposits that are tied to units still to be completed. The same four questions apply, but the working-capital and maintenance lines are different.

For a service business, the replacement-capital question may be software, cybersecurity, employee training, regulatory licenses and customer acquisition needed to keep retention stable. For a vehicle operator, it includes tyres, engines, permits and downtime. For a retailer, it includes shelving and point-of-sale systems as well as stock availability. This is why an analyst should ask the people who operate the assets what spending preserves current service before setting the owner-earnings line.

The owner can start with three columns: reported, adjusted and unresolved. Put source values in reported. Put only evidenced corrections in adjusted. Put estimates and missing records in unresolved with a low/base/high range when possible. This keeps the reader from mistaking a plausible assumption for an audited fact. The best bridge is not the one with the fewest open items; it is the one that tells management which unresolved item could change the decision.

Decide whether a draw is repeatable

A draw can be funded by four different things: current operating cash, accumulated cash from prior good years, new borrowing, or selling an asset. Only the first may indicate current earning capacity, and even then the business must fund obligations and replacement needs. The owner should label each source. A special distribution funded from an old cash reserve might be entirely reasonable, but it should not become a monthly expectation that forces the company to borrow later.

Before a regular owner draw, compare the proposed annual amount with normalized owner earnings over several periods and with downside liquidity. If owner earnings vary sharply by season, set a lower regular amount and make a later year-end distribution only after the peak cash need has passed. If the business is expanding, decide whether the growth return exceeds the owner's alternative use of cash. If the business is not earning enough after replacement labor and maintenance, a large transfer can turn an accounting profit into a weaker business.

The decision note can be short: "The business earned an estimated KSh X after replacement labor and maintenance under the base case; the low case is KSh Y. The next 13 weeks remain above reserve only if customer A pays by date D. We approve a draw of KSh Z today and will revisit after the cash is received." That sentence states the estimate, condition, amount and review point. It is much more useful than saying the bank balance looks healthy.

Turn the bridge into a monthly decision

The annual owner-earnings bridge is useful only if the owner can reproduce it from the books and the bank. Build the same bridge monthly, then roll it forward over twelve months. For each month, show cash collected from customers, cash paid to suppliers and employees, tax paid, routine capital spending, principal and interest, and owner withdrawals. Reconcile the ending cash to the bank statement. This gives the owner two answers: what the business earned over a representative period and whether that earning has actually arrived as spendable cash.

Suppose a distributor reports KSh 900,000 of monthly accounting profit. Its owner performs purchasing and collections work worth KSh 160,000 a month at a realistic replacement cost. The business has KSh 140,000 of routine equipment and vehicle renewal, and receivables and stock have absorbed KSh 240,000 more cash than the prior month. Before debt principal, tax timing and reserve decisions, the month has not produced KSh 900,000 of owner cash. The example is not a universal formula or margin benchmark; it shows why each adjustment needs its own line and evidence.

The sequence matters. Deduct a replacement wage before treating owner labour as an add-back. Deduct normal maintenance investment after examining the actual assets and their

service condition. Show working-capital movements as a cash timing item, not a permanent annual charge: a build-up consumes cash, while a release can temporarily inflate it. Then show taxes, interest and principal according to the purpose of the measure. A lender's cash-flow definition may use a different sequence from a shareholder's residual cash measure.

The monthly close should make timing visible. A December profit supported by invoices collected in February is profit, but it does not fund a December supplier payment unless credit is available. Keep the income statement, cash-flow movement and balance-sheet roll-forward side by side. The business owner can then distinguish an earnings problem from a collections problem and a temporary seasonal draw from a recurring structural deficit. Research on working capital and SME performance emphasizes that its cash requirements and its effect on performance are linked, but the relationship is not a one-direction rule that says less working capital is always better [2, 3].

Use a short forecast to test whether the cash is safe to take

A distribution decision should begin with a rolling 13-week cash forecast. Start with reconciled opening bank cash and show weekly collections by named customer or customer group, payroll, critical suppliers, tax, rent, debt service, capex and owner withdrawals. The base case should use expected payment dates grounded in collection history, not invoice due dates alone. A downside case can move the largest collections later, reduce sales where orders are not yet secured, and include known repairs or tax obligations.

The lowest projected weekly balance is more decision-useful than the year-end balance. If the forecast falls below the operating floor, owner withdrawals should wait or be funded through a documented financing plan. Set the floor from obligations and recovery time: payroll and statutory payments, the cash needed to continue essential deliveries, the likely delay before emergency funding, and the cost of restarting after a stock-out or service interruption. Do not copy a rule such as “three months of expenses” without checking seasonality and the actual commitments.

The forecast should be refreshed every week. At the review, compare forecast against actual cash and explain the three biggest differences. If collections repeatedly arrive later than forecast, change the assumptions and collection process. If a supplier asks for a deposit earlier than expected, confirm the purchase and delivery before moving the date. The forecast is an operating tool; it should change as evidence changes.

Keep a distribution ledger

A distribution ledger records date, amount, purpose, approving person, forecast headroom, remaining reserves and any tax or legal treatment. Separate wages for work, repayment of a documented shareholder loan, dividends or profit distributions, and personal expenses paid by the business. These categories have different accounting, tax, governance and solvency

implications. The ledger prevents a strong month from obscuring repeated owner draws that were never compared with reinvestment needs.

At quarter-end, compare total distributions with normalized earnings and actual free cash over a rolling period. If cash paid out is persistently greater than cash produced after maintenance and normal working capital, the difference must come from borrowing, asset sales, a working-capital release, or delayed obligations. Name the source. This is the practical meaning of the owner-earnings question: not merely what could be withdrawn in theory, but what can be taken without weakening the operation that produces next year's earnings.

Workbook map

The [Project 1 workbook](#) opens with the owner-earnings bridge and 13-week forecast, then links to maintenance, monthly working capital, receivable and payable ageing, inventory ABC, unit economics, debt and growth screening, a weekly action log and transaction checklist. The Article Case tab now reproduces the workshop example above: KSh990,000 normalized owner earnings, KSh140,000 provisional headroom after listed dated uses and the reserve floor, and negative KSh60,000 headroom if a disputed KSh200,000 receipt was counted. The separate Owner Earnings tab is a larger editable scenario: it starts with KSh48m revenue and KSh3.2m reported net income; after replacing KSh3m owner compensation with KSh2.2m market labour, adding KSh0.9m D&A and deducting KSh1.2m maintenance and KSh1.5m incremental working capital, owner earnings are KSh2.2m. After KSh0.6m scheduled principal and a KSh0.4m reserve top-up, that model shows KSh1.2m indicative residual cash. Both cases are fictional; do not combine their inputs. Evidence Vectors records them separately and gives their workbook locators. The earlier African Markets and Business Credit workbook informed the dated cash and facility workflow; this model connects that workflow to owner labour, maintenance needs and sustainable distributions. ## Technical appendices

The worked calculations and source boundaries below extend this article's examples. They keep assumptions and unresolved inputs visible so readers can reproduce the steps without mistaking an illustration for an issuer or sector estimate.

- [Appendix 01 - Owner cash bridge and distribution capacity](#)

References

[1] Berkshire Hathaway, "Chairman's Letter — 1986," section "Sources of Reported Earnings," <https://www.berkshirehathaway.com/letters/1986.html>.

[2] M. Deloof, "Does Working Capital Management Affect Profitability of Belgian Firms?" *Journal of Business Finance & Accounting*, vol. 30, no. 3–4, pp. 573–588, 2003, <https://doi.org/10.1111/1468-5957.00008>.

[3] P. J. García-Teruel and P. Martínez-Solano, “Effects of Working Capital Management on SME Profitability,” *International Journal of Managerial Finance*, vol. 3, no. 2, pp. 164–177, 2007, <https://doi.org/10.1108/17439130710738718>.

[4] R. A. C. Merton, “On the Pricing of Corporate Debt: The Risk Structure of Interest Rates,” *The Journal of Finance*, vol. 29, no. 2, pp. 449–470, 1974, <https://doi.org/10.1111/j.1540-6261.1974.tb03058.x>.

Companion resources

The workbook and technical appendices are available with research membership. The [video production guide](#) maps this article to a planned episode; a published video is not yet available.

Appendix 01 — Rebuilding the owner cash claim

Companion to Project 1, Parts 1, 2 and 4

This appendix makes the cash bridge in Part 1 reproducible and separates three numbers that answer different questions: cash generated during a reported period, normalized owner earnings, and cash that can safely be drawn on a particular date. Amounts in the workshop example are fictional KSh millions unless otherwise stated. They are teaching inputs, not a Kenyan business benchmark.

A1.1 The bridge and its boundaries

For an operating business, define operating working capital consistently as:

$$\text{OWC} = \text{trade receivables} + \text{inventory} + \text{contract assets} - \text{trade payables} - \text{customer advances}.$$

Exclude bank cash, borrowings, tax balances, and interest balances unless the analysis explicitly brings them into the operating bridge. This avoids mixing operating investment with financing or owner claims. When OWC rises over a period, that increase generally uses cash; when it falls, cash is released. The direction and amount still need to be checked against write-offs, acquisitions, foreign exchange and reclassifications.

A simplified reconciliation beginning with net income is:

$$\text{Cash from operations} = \text{net income} + \text{noncash expenses} - \text{increase in OWC} + \text{other operating accrual and tax adjustments}.$$

It is a reconciliation identity only when all material adjustments are included. Adding depreciation and subtracting a change in receivables, stock and payables alone produces a **partial bridge**, not a filed CFO figure. For normalized owner earnings, a useful analytical form is:

$$\text{Normalized OE} = \text{normalized earnings} + \text{justified noncash charges} - \text{maintenance investment} - \text{incremental OWC required at the normalized activity level} - \text{other recurring cash claims}.$$

The last term can include the extra market cost of replacing work currently performed by an owner for below-market pay. It must not subtract the same wage twice. Berkshire's 1986 explanation emphasizes the cash that can be removed without impairing long-term competitive position or required working capital; it also warns that maintenance estimates can be difficult [1].

A1.2 Recalculation of the workshop example

The article's illustrative balances and asset classifications produce this bridge:

Step	Calculation	KSh million	Status
Reported net income after proprietor pay	Given	1.800	Fictional input
Add depreciation	Given	+0.240	Noncash charge; not a cash receipt by itself
Receivables increase	$1.050 - 0.800$	-0.250	Cash tied up
Inventory increase	$1.450 - 1.200$	-0.250	Cash tied up
Trade payables increase	$0.830 - 0.700$	+0.130	Temporary supplier funding
Partial cash from operations	$1.800 + 0.240 - 0.250 - 0.250 + 0.130$	1.670	Before other accruals and taxes not in the illustration
Total equipment cash paid	Given	-0.680	Includes replacement and expansion
Historical cash after listed capex	$1.670 - 0.680$	0.990	Simplified period-cash proxy

The incremental operating working capital use is KSh 370,000: KSh 250,000 of additional receivables plus KSh 250,000 of additional inventory, less KSh 130,000 of additional payables.

For a no-growth owner-earnings estimate, separate the KSh 680,000 equipment cash outflow into KSh 380,000 of supported replacement spending and KSh 300,000 for the additional service bay. The replacement-pay adjustment is KSh 300,000 because the KSh 900,000 currently expensed for the proprietor's work is KSh 300,000 below the stated KSh 1.2 million market replacement cost. Therefore:

$$1.800 + 0.240 - 0.380 - 0.370 - 0.300 = \text{KSh } 0.990 \text{ million.}$$

The article's earlier KSh 1.29 million amount is the intermediate result before the replacement-pay gap is deducted. The corrected final estimate is KSh 990,000. It coincides with the historical cash-after-capex proxy only because the KSh 300,000 expansion outlay and KSh 300,000 replacement-pay adjustment happen to be equal. That coincidence is not a reconciliation rule. If the owner's work is already paid at market rates, remove the

replacement-pay adjustment; if the growth bay is acquired, test its cash return as a separate investment decision.

This example is intentionally incomplete as a formal cash-flow statement: it supplies no separate tax, interest, other accrual, asset-sale, debt-principal or acquisition data. The 1.67m amount must therefore remain a partial operating-cash estimate. A real business should reconcile it to bank statements and the accounting cash-flow statement before using it for a lender, tax filing or transaction.

A1.3 Earnings do not authorize a draw

The same business has KSh 1.2m in bank cash and the following near-term uses:

Dated use	KSh thousand
Payroll	250
Critical suppliers	260
Rent and utilities	80
Tax	90
Loan principal	100
Completion cost on a prepaid order	130
Total listed uses	910
Chosen minimum reserve	150
Provisional headroom	$1,200 - 910 - 150 = 140$

KSh 140,000 is only a provisional ceiling against the listed items. The forecast still needs due dates, supplier criticality, the order's gross margin, unlisted obligations and receipts. If KSh 200,000 of disputed receivables was mistakenly treated as cash when arriving at the KSh 1.2m balance, corrected cash would be KSh 1.0m and headroom would be negative KSh 60,000. A high normalized annual earning estimate cannot repair a cash shortfall next week.

A practical distribution ceiling is:

Draw ceiling = $\max(0, \text{cash available on each forecast date} - \text{essential due payments} - \text{restricted cash} - \text{chosen reserve})$.

Take the minimum headroom over the forecast horizon, not just today's closing balance. Model uncertain receipts on expected dates and create a downside case for disputed or concentrated customers. Set the reserve against a named response time or risk—such as payroll and critical supplier cover—not an unexplained fixed percentage.

A1.4 Controls for applying the calculation

1. Match entity, currency and accounting period across profit, balance-sheet changes and capital spending.
2. Tie opening and closing cash to bank reconciliations; reconcile payment processors and mobile-money accounts separately.
3. Trace large noncash adjustments to notes and remove acquisition, disposal and FX effects before calling them recurring.
4. Support maintenance with asset history, service requirements and current quotes; do not substitute depreciation mechanically.
5. Measure working capital at comparable activity and season points. A year-end movement can hide a seasonal trough.
6. Keep contractual restrictions, tax due, debt principal, owner draws and growth investments visible after the owner-earnings estimate.
7. Revisit the model when prices, volumes, credit terms, asset reliability or customer mix change.

Working-capital studies find associations between receivable, inventory and payable policies and firm performance in specific samples; they do not establish a universal target for a Kenyan enterprise [2], [3]. The point of the bridge is to identify the firm's own cash conversion and test a decision against evidence, not to turn an academic coefficient into a policy threshold.

A1.5 Reproduction and source note

All arithmetic in Table A1.1 follows from the fictional figures stated in Part 1. Change one balance or assumption and recompute the bridge; do not carry the KSh 990,000 result to another business. The companion workbook's Article Case tab now reproduces the workshop bridge and dated draw-headroom figures; Owner Earnings holds a separate larger-scale editable scenario, while Cash13W, Working Capital and Sources and Checks

support the operating analysis. The appendix still shows the complete calculation so it can be audited without opening the file.

References

- [1] Berkshire Hathaway, “Chairman’s Letter — 1986,” section “Sources of Reported Earnings,” <https://www.berkshirehathaway.com/letters/1986.html>.
- [2] M. Deloof, “Does Working Capital Management Affect Profitability of Belgian Firms?” *Journal of Business Finance & Accounting*, vol. 30, nos. 3–4, pp. 573–588, 2003, <https://doi.org/10.1111/1468-5957.00008>.
- [3] P. J. García-Teruel and P. Martínez-Solano, “Effects of Working Capital Management on SME Profitability,” *International Journal of Managerial Finance*, vol. 3, no. 2, pp. 164–177, 2007, <https://doi.org/10.1108/17439130710738718>.